

NVIDIA Corporation

NVDA NASDAQ

Hold	\$197.30 ▼ 4.61%	12M Price Target \$220.00	52-Week Range \$164.07 – \$236.54	Market Cap \$4.78T
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NVDA: China Fears and Capex Jitters Hit the Stock

WHAT HAPPENED

- NVDA dropped 4.6% to \$197 on a double-whammy: fresh worries that Chinese competitors (think Huawei's Ascend chips) are eating into NVDA's addressable market, and analysts flagging that hyperscalers' massive AI capex — the very spending that fuels NVDA — is starting to spook investors who wonder if the balance sheets can keep sustaining it.
- Options flow is loudly bearish — that unusual put activity at \$197.5 strike (15x normal open interest) means big money is either hedging or betting on more downside near-term. When someone drops \$39M on puts, pay attention.

WHY IT MATTERS

Here's the real story: NVDA isn't broken, but it's now so big (\$4.78T market cap) that the marginal buyer is asking harder questions. The "China competition" narrative is the market's way of pricing in a policy reality — the Biden-era and now Trump-era export controls have effectively handed China a mandate to build a domestic alternative, and they're doing it. That means NVDA's China revenue (~13% pre-restrictions) may never come back, AND those same Chinese chips could eventually compete in third countries. Meanwhile, the "capex jitters" story is more important than people realize — if Meta, Microsoft, Google, or Amazon signal even a modest slowdown in AI spending on their upcoming earnings calls, NVDA gets re-rated lower fast because ~40% of its revenue comes from just a handful of customers.

POLICY & POLITICAL WATCH

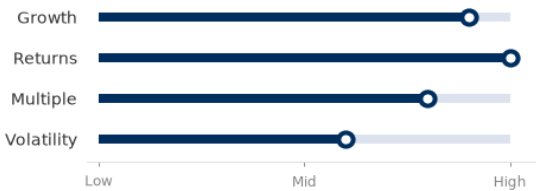
Two things to watch right now: (1) The Trump administration's ongoing AI Diffusion Rule negotiations — the framework governs which countries can buy top-tier NVDA chips, and any tightening (especially around Middle East deals) directly caps NVDA's TAM. (2) The CHIPS Act 2.0 discussions in Congress — expanded domestic semiconductor incentives could actually pressure NVDA to onshore more manufacturing (margin headwind) but would benefit them as a Taiwan-concentration hedge. Bigger picture: the regulatory environment for NVDA has shifted from tailwind (2023-2024 AI boom, minimal rules) to mixed — every new export control is a haircut to the growth story, and Washington is unlikely to loosen up given the China tech-race framing.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$197.30
12M Price Target	\$220.00
Upside / (Downside)	+11.5%
Market Cap	\$4.78T
FY2027E Revenue	\$235M
FY2028E Revenue	\$290M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	33.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$200.00	\$180.00
6 Months	\$240.00	\$215.00	\$170.00
1 Year	\$265.00	\$220.00	\$160.00
2 Years	\$320.00	\$250.00	\$150.00
5 Years	\$450.00	\$320.00	\$130.00
10 Years	\$700.00	\$450.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defensive sectors — Consumer Staples, Real Estate, Utilities (not shown but implied by the rotation). This is classic "risk-off" rotation, and it's happening because the AI trade got crowded and people are taking chips off the table.

COOLING OFF: Semis and AI-adjacent tech — chip stocks broadly are getting hit on the China competition narrative, and the 5-day performance shows Comm Services and Consumer Discretionary (both AI-heavy) rolling over.

ROTATION WATCH: Money is quietly moving from mega-cap AI winners into value and defensives. This isn't panic — it's positioning ahead of hyperscaler earnings where investors want to see capex discipline before committing more capital to the AI trade.

RELATED PLAY: If you believe the AI buildout continues but want less single-stock risk, data center REITs (EQIX, DLR) and power infrastructure names (VST, CEG) benefit from the same trend without the China exposure or customer concentration.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): Barrons is floating that Apple could retake the market cap crown — Apple's on-device AI story doesn't need massive capex justification, so it's benefiting from the "AI without the capex risk" rotation.
- Defensive dividend names broadly — Consumer Staples up 2.62% while semis get hit tells you exactly what kind of tape this is.

NVDA CONTEXT: NVDA is lagging the market today, and it's lagging its own recent trend (down from \$212 last week). That's not catastrophic — it's just off the highs — but the fact that the whole chip complex is selling off together tells you this is a sector story, not an NVDA-specific problem. Which is actually reassuring: sector-wide selloffs usually reverse when the narrative shifts, whereas company-specific selloffs can linger.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$180-190 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth slows below 20% YoY or hyperscalers announce meaningful capex cuts

Hedging: Buy SOXS or short a smaller high-multiple AI name against your NVDA long